Halden Credit Advisory
Counterparty and contractor risk assessment

Builder Credit Assessment Ironbark Constructions

Riverbank Quarter design and construct contract

Prepared for: Quillwood Credit Partners Pty Ltd

Counterparty: Ironbark Constructions Pty Ltd

Reference: HCA-BLD-2026-0218

Date: 24 September 2026

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1. Assessment summary

Halden Credit Advisory has assessed the financial capacity of Ironbark Constructions Pty Ltd to deliver the A$214.6M design and construct contract for Riverbank Quarter. We rate Ironbark Acceptable - moderate risk, with a weighted score of 3.53 out of 5.

Ironbark is a privately owned tier-two builder established in 1998 and headquartered in North Sydney. It has delivered 31 high-rise projects since 2012 and has reported a profit in each of the last ten years. In FY25 it generated revenue of A$951M and EBITDA of A$35.2M, an EBITDA margin of 3.7%.

The Riverbank Quarter contract represents 13.2% of Ironbark's FY25 order book of A$1,620M. Spread over the 26-month program, the contract averages about A$8.3M of work per month, or 10% of Ironbark's FY25 average monthly revenue. We consider the contract within Ironbark's capacity.

Contractor	Ironbark Constructions Pty Ltd
Ownership	Private; founder and two executive directors
Head office	North Sydney NSW
Licensing	NSW Building Commission licensed builder; Federal Safety Commissioner accredited
Contract assessed	Riverbank Quarter, A$214.6M fixed-price D&C
Overall rating	Acceptable - moderate risk (3.53 / 5)

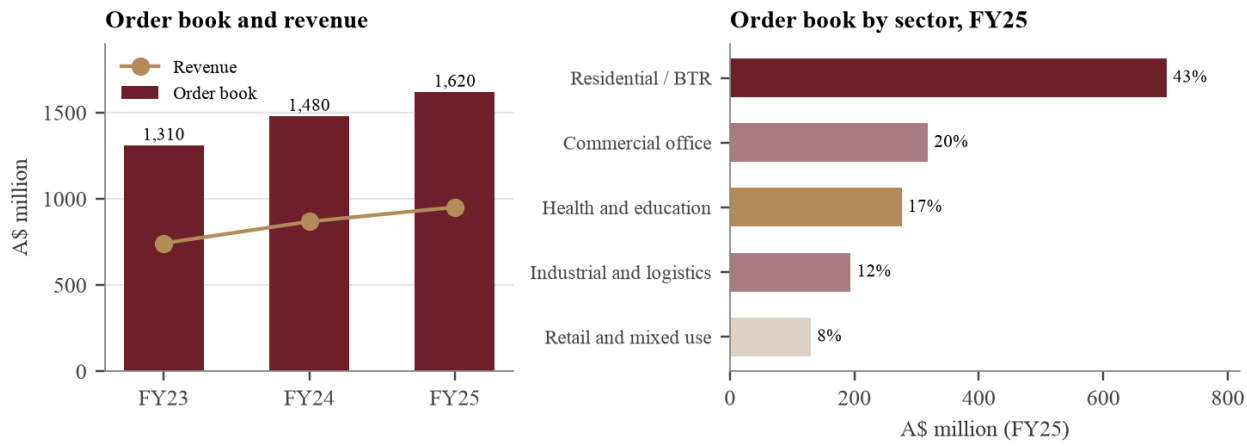
2. Financial performance

A$, years ended 30 June	FY23	FY24	FY25
Revenue	A$742M	A$868M	A$951M
EBITDA	A$29.7M	A$33.0M	A$35.2M
EBITDA margin	4.0%	3.8%	3.7%
Net profit after tax	A$14.1M	A$15.8M	A$16.9M
Net assets	A$118.4M	A$129.6M	A$141.3M
Cash	A$63.9M	A$71.2M	A$68.5M
Order book (30 June)	A$1,310M	A$1,480M	A$1,620M

Table 1. Summary financials (audited)

Ironbark's margins are thin, as is typical for the sector, but have been stable at 3.7% to 4.0%. The balance sheet carries no term debt. Cash fell slightly in FY25 as the builder funded the early stages of three large projects, but remains well above our minimum liquidity benchmark of 5% of annual revenue.

Figure 1. Ironbark Constructions order book



Source: Ironbark Constructions audited accounts FY23-FY25 and management order book schedule, June 2025.

3. Scorecard

Criterion	Score (1-5)	Weight	Comment
Financial strength	3.5	30%	Positive earnings through cycle; net cash
Liquidity	3.5	20%	A$68.5M cash; bank guarantee lines 61% utilised
Delivery track record	4.0	20%	31 high-rise projects since 2012; average 3.2-week variance to PC
Order book quality	3.0	15%	43% residential concentration
Subcontractor and supply chain	3.5	15%	Long-standing trade panel; no payment disputes
Weighted score	**3.53**	**100%**	**Acceptable - moderate risk**

Table 2. Builder assessment scorecard

4. Delivery record

We reviewed Ironbark's six most recent high-rise residential projects. All reached practical completion within six weeks of the contracted date, and Station Place finished eight weeks early. No project incurred liquidated damages above 2% of the contract sum, and no lender has called on Ironbark's security.

Project	Location	Contract sum	PC year	Variance to PC	Senior lender
The Rhodes Collection	Rhodes NSW	A$168M	2021	+2 weeks	Non-bank
Station Place	Epping NSW	A$142M	2021	-8 weeks	Major bank
Liv Westmead	Westmead NSW	A$121M	2022	+4 weeks	Major bank
Kingsway BTR	Liverpool NSW	A$118M	2023	+3 weeks	Quillwood Credit Partners
Northshore Gardens	Chatswood NSW	A$196M	2024	+6 weeks	Major bank
Calder Hills	Hornsby NSW	A$151M	2026	+5 weeks	Quillwood Credit Partners

Table 3. Recent high-rise residential projects

Ironbark has built three projects for Calder Property Group, including Station Place, Kingsway BTR and Calder Hills. The relationship is long-standing, but we found no evidence of related-party arrangements or non-arm's-length pricing.

5. Risk commentary

The principal risk is Ironbark's concentration in residential and build-to-rent work, which makes up 43% of its order book. A downturn affecting several residential clients at the same time could put pressure on cash flow. This is partly offset by the fixed-price nature of most contracts and Ironbark's practice of locking in major trade packages before contract execution.

We reviewed the subcontractor payment history and found no disputes or late payments recorded in the last three years. Ironbark's bank guarantee facilities total A$96M, of which 61% is utilised; the 5% security required for Riverbank Quarter can be provided within existing limits.

Recommended protections

- Builder security of 5% of the contract sum (A$10.73M) by unconditional bank guarantees.
- A financier's side deed giving the lender step-in rights and a cure period before termination.
- Monthly review of progress claims and subcontractor payments by the lender's quantity surveyor.
- Annual financial reporting from Ironbark within 120 days of year end, with a trigger for review if net assets fall below A$110M.

Halden Credit Advisory
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